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Market Commentary

WEEKLY PERSPECTIVE ON CURRENT MARKET SENTIMENT

Growth versus Value

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Last Week's S&P 500 Index:
-0.5%

Key takeaways

» *Value has outperformed growth over the last month for the first time in more than five years.*

» *We recommend a more neutral "barbell" approach to growth versus value, and are focused on quality.*

Over the last month or so, value stocks have outperformed growth stocks. This has been a completely counter-trend move compared to the previous five-plus years where growth dramatically outperformed—whether you look at the S&P 500 Pure Value Index versus the S&P 500 Pure Growth Index or virtually any other that tracked the two (i.e., Russell indices). The question is whether this is the start of a new trend or just an aberration. A bit of clarity and some definitions first, however.

Growth stocks typically are expected to grow earnings well in excess of the average company. Most do not feature an attractive dividend yield (if they pay dividends at all) as they are reinvesting their earnings back into the company to produce higher growth. In addition, these companies frequently control a meaningful percentage of revenues in their industry. Value stocks, on the other hand, often feature an attractive dividend yield and trade at a price that is below what investors might consider "fair value" based on future expectations. Low price-to-book (P/B) and price-to-earnings (P/E) ratios are also common traits. Some might also consider value stocks, overall, to be more sensitive to the ebb-and-flow of the economy.

So given that brief background info, we'll go back to the basic question of whether or not the tide has turned and growth stocks are going to take a backseat to value. Let's think about this logically for a minute. Sectors like Information Technology and Consumer Discretionary have a large concentration of growth stocks. The Tech sector is the best performer on a year-to-date (YTD) basis, up nearly 30%. The Consumer Discretionary sector has also been an outperformer in 2019, posting a gain of nearly 22%. But more recently, some of the largest capitalization companies in these sectors have underperformed as traders took profits in the wake of the YTD outperformance and increased negative risks in terms of U.S./China trade negotiations and global growth prospects.

In addition, companies in the Financials sector carry a heavy weighting in value indices. This sector is up more than 8% over the last month, beating the S&P 500 by nearly 3.5% while Tech and Consumer Discretionary trailed the index. The Energy sector also carries a meaningful weighting in value indices and has rallied more than 10% over the last four weeks.

Our overall equity strategy has moved to a more neutral positioning over the last six months as the S&P 500 has traded to what we consider fair value and negative risks to our outlook have increased. We are recommending that investors allocate funds more in line with their recommended strategic (longer term) weightings. We have also made an attempt to allocate toward sectors that feature lower debt and more dependable earnings streams.

We are currently favoring growth sectors such as Information Technology and Consumer Discretionary along with the value-biased Financials sector. We prefer this "barbell" approach at this time and recommend a more neutral growth versus value position with an emphasis on quality.

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Each asset class has its own risk and return characteristics. The level of risk associated with a particular investment or asset class generally correlates with the level of return the investment or asset class might achieve. **Stock markets**, especially foreign markets, are volatile. Stock values may fluctuate in response to general economic and market conditions, the prospects of individual companies, and industry sectors. There are no guarantees that growth or value stocks will increase in value or that their intrinsic values will eventually be recognized by the overall market. The return and principal value of stocks fluctuate with changes in market conditions. The growth and value type of investing tends to shift in and out of favor.

Sector Risks

Sector investing can be more volatile than investments that are broadly diversified over numerous sectors of the economy and will increase a portfolio's vulnerability to any single economic, political, or regulatory development affecting the sector. This can result in greater price volatility. Risks associated with the **Consumer Discretionary** sector include, among others, apparel price deflation due to low-cost entries, high inventory levels and pressure from e-commerce players; reduction in traditional advertising dollars, increasing household debt levels that could limit consumer appetite for discretionary purchases, declining consumer acceptance of new product introductions, and geopolitical uncertainty that could affect consumer sentiment. Investing in the **Financial** services companies will subject a investment to adverse economic or regulatory occurrences affecting the sector. Risks associated with the **Technology** sector include increased competition from domestic and international companies, unexpected changes in demand, regulatory actions, technical problems with key products, and the departure of key members of management. Technology and Internet-related stocks smaller, less-seasoned companies, tend to be more volatile than the overall market.

Definitions

S&P 500 Index is a market capitalization-weighted index composed of 500 widely held common stocks that is generally considered representative of the US stock market.

S&P 500 Pure Growth Index is a style-concentrated index designed to track the performance of stocks that exhibit the strongest growth characteristics by using a style-attractiveness-weighting scheme.

S&P 500 Pure Value Index is a style-concentrated index designed to track the performance of stocks that exhibit the strongest value characteristics by using a style-attractiveness-weighting scheme.

An index is unmanaged and not available for direct investment.

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